also doubles as a safety deposit that a bank can draw upon to meet any sudden and unexpected liquidity crunch. In India, we call this the ‘cash reserve ratio’ (CRR). In addition to the CRR, the Reserve Bank also requires commercial banks to invest a minimum proportion of their NDTL, called the ‘statutory liquidity ratio’ (SLR), in government securities. We were anxious that banks should not pull back on credit flow which meant that we had to put more money in their hands. To do so, we reduced both the CRR and the SLR. To further encourage flow of credit to what we thought were stressed sectors, we extended regulatory forbearance to banks by relaxing the risk weights and provisioning norms governing bank loans to the stressed sectors. This meant I was partly reversing the countercyclical measures instituted by my predecessor, Y.V. Reddy, to restrain risky lending during the ‘subprime’ years.

On the forex side, we had to offset the pull-out by the FIIs by encouraging inflows of other types. Towards this end, we raised the cap on the interest rate that banks could offer to foreign-currency deposits by NRIs, substantially relaxed the norms for external commercial borrowing by corporates and allowed NBFCs and housing finance companies to access foreign borrowing. To mitigate the dent on export prospects, we extended the period of pre-shipment and post-shipment credit, and expanded the refinance facility for exports.

I announced the first interest rate cut on 20 October 2008, just a month after the Lehman collapse, reducing the policy repo rate—the rate at which commercial banks borrow overnight from the Reserve Bank—from 9 per cent to 8 per cent. The significance of this move becomes clear if you note that Y.V. Reddy had actually raised the rate as late as July in response to rising inflation. And here I was, reversing the policy stance and cutting the rate in less than three months’ time, signalling that financial stability had overtaken inflation as the overriding concern. True, we had cut the CRR and SLR in the past month, and these were technically monetary-easing measures. But given the extraordinary financial market situation, they were interpreted by the markets, and correctly so, as pure liquidity-easing